

is a former Federal Bank board member. Sharda was CEO of Future Generali Life Insurance. And Bali had earlier headed Kotak Mahindra Prime as well as IIFL Finance. Besides, Axis Bank is getting more than 3,600 high-performing professionals in consumer banking from the Citi acquisition, plus a ready-made, powerful portfolio of credit card customers, its erstwhile Achilles' heel. Clearly, growth is the new anthem—organic or otherwise—and the bank's senior management has its task cut out.

WHEN CITI'S GLOBAL CEO Jane Fraser announced the exit of consumer banking in 13 markets, including India, there was hectic activity at the Axis Bank headquarters in April 2021. The strategic fit with Citi's high-end customers was very strong for a bank like Axis, as it runs one of the largest wealth management businesses in India. Chaudhry moved quickly to form a strategy and M&A team. To better understand how Citi's clients feel about private banks in India, he also commissioned a market survey. All that happened between July and September. "We armed ourselves reasonably well in the process," says Subrat Mohanty, Group Executive for Banking Operations & Transformation at the bank. The choice of the global investment banker, Credit Suisse, was also strategic as this US-based banker was running a similar process in other geographies.

Indeed, the vexing issue of valuation kept many big banks away, but Axis stayed put. The team had many rounds of negotiations with Citi's M&A team in London between January and March this year. In March, the bank clinched the deal to acquire Citi's loan book worth \$3.65 billion for \$1.64 billion, far less than the \$2 billion speculated. "Based on pro-forma FY20, the deal is valued at 18.7x FY20 PAT of ₹842 crore. The combined deal valuation is attractive considering SBI Cards and IIFL's wealth businesses as proxies," says Jaideep Arora, CEO of Sharekhan by BNP Paribas. The acquisition will contribute 7 per cent to Axis Bank's deposit base and 4 per cent to its advances, mostly retail. It will also power the bank's retail banking business which currently has a 56.5 per cent share of total advances. "We can cross-sell and upsell to an existing base of very seasoned and engaged customers. It's a top-18-cities-centric, high-quality, premium customer base of over 3 million customers. We can do a lot of things," says Mohanty.

The big catch is the credit card portfolio. "The big players have mastered the art of generating 4.5-5 per cent returns in the cards business. So far, Axis Bank has largely maintained a risk-off approach in its cards business by focussing on internal customers and not taking undue risks



“The market share gain for private sector banks will continue and within the top banks, the big four or five banks will gain disproportionate market share (in deposits and advances)”

RAJIV ANAND
DEPUTY MD, AXIS BANK

on new-to-bank customers,” says Krishnan A.S.V., Institutional Research Analyst at HDFC Securities. The acquisition catapults Axis into the top three credit card players in terms of the loan book. And in terms of the number of cards, Axis plus Citi combined at 11.15 million will still be No. 4, but it will significantly reduce the gap with No. 3 ICICI Bank. The top two are HDFC Bank and SBI Cards.

Credit cards, along with personal loans and business loans, are part of the unsecured portfolio, comprising around 11 per cent of the bank's portfolio and 20 per cent of retail. This segment has a higher yield and higher ROE potential. Currently, the bank's ratio of secured and unsecured loans is about 80:20. Unsecured loans offer a healthy risk-adjusted return. "We can't ignore [that]. We would like unsecured to move directionally towards 75:25, but we will keep evaluating it," says Bali.

The retail book is largely secured, with 80 per cent share of mortgages, vehicle loans and the rural portfolio. The bank's strategy in retail lending has been built around cross-selling to existing customers. It gets all of